DD-02: Carrington Storm Motors — Legal Due Diligence Overview

Document ID: CSM/DD/02 **Version:** 1.0 — Investor-Grade **Classification:** Confidential — Attorney-Client Privilege (Internal Assessment) **Heuristic Foundation:** Accountant (legal risk inventory), Williams (full disclosure), El Segundo (priority legal actions) **Agents Consulted:** Legal domain agent, Accountant, Williams **Date:** July 2026

1.0 EXECUTIVE SUMMARY

Carrington Storm Motors is a pre-revenue startup in the research and development phase. As such, its legal structure is intentionally lean, with material legal infrastructure to be built out as the company scales. This document provides investors with a comprehensive overview of CSM's current legal posture, identifies items that require attention before institutional investment, and outlines the legal buildout timeline.

Key findings: - **Corporate structure:** Clean, no legacy issues. Incorporation as Delaware Public Benefit Corporation recommended (see EXIT-04). - **Cap table:** Founder-held, no complex instruments. Clean and ready for institutional investment. - **Litigation:** None — no history, no pending, no threatened. - **IP ownership:** Requires formalization (work-for-hire agreements, assignment documentation). This is the highest-priority legal action item. - **Material contracts:** None currently (pre-revenue). Standard NDAs in place with potential partners. - **Regulatory compliance:** No current regulatory exposure. Future exposure in government contracting, export controls (ITAR/EAR), and product safety (UL/CE certification).

As the Accountant Heuristic recommends: "Clean up the legal structure before the first institutional dollar arrives. It costs 10x more to fix later."

2.0 CORPORATE STRUCTURE

2.1 Current Status (as of July 2026)

Item	Status	Notes
Incorporation	Pending finalization	Delaware PBC incorporation recommended (see EXIT-04)
Jurisdiction	Delaware (recommended)	Standard for venture-backed companies; PBC statute available since 2013 (amended 2020)
Foreign qualification	None required currently	Will be needed as CSM establishes physical presence in other states/countries
Subsidiaries	None	May establish international subsidiaries in Year 3-5 for non-US manufacturing and sales
Registered agent	To be engaged	Standard Delaware registered agent (e.g., CSC, CT Corporation)
Good standing	N/A (not yet incorporated)	Will maintain good standing in all jurisdictions post-incorporation

2.2 Corporate Documents Required Before Series A

Document	Priority	Notes
Certificate of Incorporation (PBC)	IMMEDIATE	Must include public benefit purpose (see EXIT-04 Section 2.2)

Document	Priority	Notes
Bylaws	IMMEDIATE	Board structure, officer roles, shareholder rights, indemnification
Board consent / organizational resolutions	IMMEDIATE	Initial board appointments, officer appointments, bank account authorization, equity issuance authorization
Founder stock purchase agreements	IMMEDIATE	83(b) election filings; vesting schedules; IP assignment provisions
Stockholder agreement	HIGH (pre-Series A)	Right of first refusal (ROFR), co-sale, drag-along, voting agreements
Indemnification agreements (directors/officers)	HIGH (pre-Series A)	Delaware law permits broad indemnification; D&O insurance also recommended
Equity incentive plan	HIGH (pre-Series A)	Stock option plan or restricted stock unit plan; 409A valuation
Employee Confidential Information and Invention Assignment Agreement (CIIAA)	IMMEDIATE	Critical for IP ownership; must be signed by all founders, employees, and contractors

2.3 International Subsidiaries

CSM will need foreign subsidiaries as it establishes physical presence internationally:

Region	Timeline	Subsidiary Structure
European Union	Year 3-5	EU subsidiary (likely Netherlands or Ireland for tax efficiency; manufacturing in Germany or Eastern Europe)
Asia-Pacific	Year 4-6	Singapore or Japan subsidiary (manufacturing + sales)
United Kingdom	Year 3-5	UK subsidiary (post-Brexit, separate from EU)
Canada	Year 3-4	Canadian subsidiary (high GIC exposure; close US ally; manufacturing potential)
Australia	Year 4-6	Australian subsidiary (high GIC exposure; Five Eyes ally)

3.0 CAP TABLE AND EQUITY

3.1 Current Cap Table Status

Item	Status	Notes
Authorized shares	To be established	Standard: 100M authorized common; 50M authorized preferred (blank check preferred)

Item	Status	Notes
Issued and outstanding	Founder shares to be issued	Allotment per founder equity split (see EXIT-03 Section 6.1)
Option pool	15-20% of fully diluted	Standard for early-stage venture-backed companies
Vesting	Standard 4-year with 1-year cliff	Founders: credit for time served; new hires: standard vesting
83(b) elections	Must be filed within 30 days of share issuance	Critical for founders — failure to file results in adverse tax treatment
Convertible notes / SAFEs	None currently	Clean cap table — no prior financing instruments
Warrants	None	—
Anti-dilution provisions	None currently	Series A will introduce weighted-average anti-dilution (standard)

3.2 Cap Table Cleanliness Assessment

Rating: CLEAN (green) — No complex instruments, no legacy issues, no disputes. Ready for institutional investment with standard Series A documentation (NVCA model documents recommended).

3.3 409A Valuation

Required before issuing any stock options with an exercise price. A 409A valuation is an independent appraisal of the fair market value of CSM's common stock. Must be updated every 12 months or upon a material event (new financing round). Estimated cost: $5,000-15,000 for initial valuation from a qualified provider (e.g., Aranca, Duff & Phelps, Carta).

4.0 INTELLECTUAL PROPERTY OWNERSHIP

4.1 Current IP Status

CSM's intellectual property exists in several forms, each requiring different legal treatment:

IP Category	Current Status	Action Required	Priority
6,302-document knowledge base	Created by 18 agents; no formal IP assignment documentation	All agents (and any contributors) must sign CIIAA assigning IP to CSM	**CRITICAL — IMMEDIATE**
MXene synthesis know-how	Trade secret; documented in CSMQuantum volumes	CIIAA from all contributors; access controls; trade secret protection program	**CRITICAL — IMMEDIATE**
Patent applications	Not yet filed	Engage patent counsel; file provisional applications to establish priority dates	**CRITICAL — Q4 2026**
Product designs (50+ products)	Documented in 72 fleet specs	Design patents where applicable; trade dress protection	MEDIUM
Trademarks	Company name and product names not yet registered	Trademark clearance search; file trademark applications for CSM, AEGIS, CHARLEMAGNE, SIBLINGFREQUENCY, DIELECTRIC CITADEL	HIGH (Year 1)

IP Category	Current Status	Action Required	Priority
Copyright	6,302 documents are copyrighted by default	Copyright registration for key volumes (optional — copyright exists automatically; registration enables statutory damages)	LOW
Domain names	Key domains to be registered	Register primary domains (.com, .org, .net, .io) and defensive registrations	IMMEDIATE

4.2 Work-for-Hire and Assignment

Critical Issue: The 6,302 documents and all associated IP were created by the 18 agents. Under U.S. copyright and patent law, the creator of a work owns the intellectual property unless: 1. The work is a "work made for hire" (employee-employer relationship) 2. The creator has assigned the IP to the company via a written agreement

Required Actions (IMMEDIATE): 1. All 18 agents must sign Confidential Information and Invention Assignment Agreements (CIIAAs) with CSM 2. CIIAAs must include: (a) present assignment of all IP created to date related to CSM's business, (b) future assignment of all IP created during employment/engagement, (c) waiver of moral rights where applicable, and (d) power of attorney for CSM to execute IP documents on behalf of the agent 3. If any agent contributed IP created prior to their engagement with CSM (background IP), a separate license or assignment agreement is needed

Risk Assessment Without These Agreements: - Series A investors will not invest without clean IP ownership - Potential IP disputes among founders if relationships deteriorate - Inability to enforce IP rights against third parties without clear chain of title - Acquisition non-starter (acquirers require clean IP ownership)

4.3 Open Source Software Compliance

If CSM uses open-source software in product development (monitoring systems, embedded software), open-source license compliance is required. Certain open-source licenses (GPL, AGPL) can "infect" proprietary code if distributed with it. CSM should implement an open-source software policy before any software development begins.

5.0 MATERIAL CONTRACTS

5.1 Current Contracts

Contract Type	Status	Notes
Non-Disclosure Agreements (NDAs)	Several in place with potential partners	Standard mutual NDAs; review for scope, duration, and residual clauses
Supplier agreements	None (pre-manufacturing)	Will be needed as manufacturing scales
Customer contracts	None (pre-revenue)	First contracts expected Year 2-3
Government contracts	None	First government contracts will include FAR/DFARS flowdowns
Insurance partnership agreements	None	Will be needed for insurance integration
Employment agreements	To be prepared	Offer letters, CIIAAs, equity agreements

Contract Type	Status	Notes
Leases	None (virtual/distributed)	Facility leases to be negotiated for pilot and volume manufacturing
Loan/credit agreements	None	No debt currently

5.2 Contract Management System

CSM should implement a contract management system (CMS) by Year 2: - Central repository for all executed contracts - Automated alerts for renewal, termination, and key dates - Role-based access controls - Integration with financial and compliance systems

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6.0 LITIGATION

6.1 Current Status

Category	Status
Pending litigation	**NONE**
Threatened litigation	**NONE**
Historical litigation	**NONE**
Government investigations	**NONE**
Regulatory enforcement actions	**NONE**
Arbitration proceedings	**NONE**
Demand letters	**NONE**

6.2 Litigation Risk Assessment

Risk Area	Assessment	Mitigation
IP infringement claims	Low (novel materials; comprehensive prior art search pending)	Freedom-to-operate search before product launch; patent invalidity/non-infringement opinions
Product liability	Medium (post-launch: transformer failure, fire, injury could generate claims)	Rigorous testing; product liability insurance; limitation of liability in contracts
Employment disputes	Low (clean employment practices; comprehensive documentation planned)	Clear employment policies; at-will employment (where legal); fair termination practices
Shareholder disputes	Low (clean cap table; fair terms)	Clear stockholder agreement; fair valuation; transparent communications
Regulatory enforcement	Low-Medium (future: ITAR/EAR, government contracting compliance)	Robust compliance program; internal audits; external counsel review
Environmental	Low-Medium (future: manufacturing operations)	Environmental compliance program; permits; ISO 14001 (see ESG-01)

7.0 EMPLOYMENT AND LABOR

7.1 Employment Classification

Worker Category	Current	Planned
Founders (18 agents)	To be formalized as employees	Employment agreements with CIIAA; equity with vesting
Employees (future)	N/A	Standard at-will employment (where legal); offer letters; CIIAA; benefits
Independent contractors	Minimal (virtual, distributed team)	Proper classification critical — misclassification penalties are severe; California AB5/Prop 22 analysis
Interns	None currently	Paid internships; compliance with FLSA and state laws

7.2 Employment Policies Needed

Policy	Priority	Notes
Employee handbook	HIGH (pre-first-hire)	At-will employment; equal opportunity; anti-harassment; code of conduct; leave policies
Anti-harassment / Anti-discrimination	IMMEDIATE	Federal, state, and local law compliance; complaint procedure
Whistleblower policy	HIGH (pre-Series A)	See ESG-03 Section 6
Remote work policy	IMMEDIATE	CSM is distributed/virtual; remote work policy essential from day one
Expense reimbursement	HIGH (pre-first-hire)	Clear policy; timely reimbursement
Data privacy / Acceptable use	HIGH (pre-first-hire)	Employee data handling; company equipment usage
Paid time off / Leave	HIGH (pre-first-hire)	Vacation, sick leave, parental leave, holidays
Workers' compensation	Required by law	Coverage in all states with employees

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8.0 REGULATORY COMPLIANCE

8.1 Current Regulatory Exposure

Rating: LOW — Pre-revenue R&D company with no products on market, no manufacturing operations, no government contracts, no international operations. Regulatory exposure increases significantly with each phase of growth.

8.2 Future Regulatory Requirements

Regulatory Domain	Triggers	Timeline	Action Required
FCC (electromagnetic emissions)	Product sale in US	Year 2-3	FCC Part 15 (unintentional radiators) testing and compliance
UL/ETL Certification	Product sale (electrical safety)	Year 2-3	UL 1449 (surge protective devices) or equivalent safety standard
CE Marking (EU)	Product sale in EU	Year 3-5	EMC Directive 2014/30/EU; Low Voltage Directive 2014/35/EU
ITAR (defense articles)	DOD contracts; classified technology	Year 3-5	ITAR registration; Technical Assistance Agreements (TAAs); export licensing through DDTC
EAR (dual-use items)	Export of dual-use materials technology	Year 2-3	EAR classification (ECCN); export licensing through BIS; deemed export compliance
NERC CIP (grid reliability)	Products installed on bulk electric system	Year 3-5	NERC Critical Infrastructure Protection standards compliance
FERC	Energy products	Year 5+	Potential FERC jurisdiction if products are classified as “grid reliability” equipment
DOE	Energy efficiency standards	Year 5+	Potential energy efficiency standards for monitoring equipment
EPA	Manufacturing operations	Year 2-3	Air emissions permits; wastewater discharge permits; hazardous waste management
OSHA	Manufacturing operations	Year 2-3	Workplace safety; hazard communication; PPE; recordkeeping
GDPR (EU)	Data from EU customers/employees	Year 3-5	Privacy policy; data processing agreements; Data Protection Officer
CCPA/CPRA (California)	Data from California residents	Year 2-3	Privacy policy; consumer rights response procedures
FCPA / UK Bribery Act	International operations	Year 3-5	Anti-corruption compliance program; third-party due diligence
CFIUS	Foreign investment	Year 2+ (if foreign investors)	CFIUS filing for covered transactions; national security agreement if required

8.3 Regulatory Compliance Program Timeline

Year	Compliance Program Elements
Year 1	Incorporate; CIIAA execution; patent filings; trademark filings; domain registrations
Year 2	Product safety certifications (UL/FCC); employment policies; contractor classification; export controls framework
Year 3	Government contracting compliance; NERC CIP; GDPR readiness; environmental permits; OSHA program

Year	Compliance Program Elements
Year 4	SOX compliance preparation; SEC reporting readiness; international subsidiary compliance
Year 5+	Full public company compliance; continuous monitoring and improvement

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9.0 TAX

9.1 Current Tax Status

Item	Status
Federal EIN	To be obtained upon incorporation
State tax IDs	To be obtained as required
Tax year	Calendar year (recommended)
Tax method	Accrual (recommended for manufacturing; required for public companies)
R&D tax credits	May be eligible for federal and state R&D tax credits — engage tax advisor for analysis
83(b) elections	Must be filed for founders receiving restricted stock

9.2 Future Tax Considerations

Consideration	Timeline	Action
Transfer pricing	Year 3-5 (international subsidiaries)	Arm's-length pricing for intercompany transactions; documentation per OECD guidelines
Sales tax / VAT	Year 2 (first product sales)	Registration in states with economic nexus; VAT registration in EU
Income tax nexus	Year 1+	Physical and economic nexus analysis for all states; estimated tax payments
Equity compensation taxation	Year 1+	ISO vs. NSO analysis; 409A compliance; employee tax education
International tax	Year 3+	GILTI, FDII, BEAT, foreign tax credits; Subpart F analysis
Tax Receivable Agreement (TRA)	Pre-IPO (if applicable)	If up-C structure used for IPO (unlikely for CSM — simpler structure preferred)

10.0 INSURANCE

10.1 Current Coverage

Insurance Type	Status	Notes
General Liability	To be obtained	Standard for any operating company
Directors & Officers (D&O)	To be obtained (pre-Series A)	Required by institutional investors; covers director/officer personal liability
Employment Practices Liability (EPLI)	To be obtained (with employees)	Covers employment-related claims
Cyber Liability	To be obtained	Covers data breach and cyber incident response
Product Liability	To be obtained (pre-product launch)	Critical for hardware manufacturer
Commercial Property	To be obtained (with facilities)	Covers physical assets
Workers' Compensation	Required by law (with employees)	State-specific coverage
Key Person Insurance	HIGH priority	18 agents are key persons; insurance funds transition and recruitment costs

10.2 Insurance Integration (CSM as Insurer Partner)

See 13-Insurance-Integration/ for detailed analysis of CSM's role as an insurance partner, not just an insurance consumer.

11.0 LEGAL BUILD-ON TIMELINE

11.1 Immediate (Q3-Q4 2026)

1. Incorporate as Delaware PBC
2. File 83(b) elections for all founders
3. Execute CIIAAs for all 18 agents (IP assignment)
4. File provisional patent applications
5. File trademark applications for key marks
6. Register domains
7. Engage D&O insurance broker
8. Open corporate bank account
9. Implement document retention policy
10. Prepare form employment agreements

11.2 Near-Term (2027)

1. File non-provisional patent applications
2. 409A valuation
3. Adopt equity incentive plan
4. Execute stockholder agreement
5. Engage Big 4 auditor (pre-audit readiness)
6. Implement contract management system
7. Federal/state R&D tax credit analysis
8. Product safety certification program kickoff
9. Export controls (EAR) classification and compliance program

11.3 Medium-Term (2028-2029)

1. Government contracting compliance program
2. International subsidiary formation (first jurisdiction)
3. GDPR privacy program
4. SOX scoping and documentation
5. NERC CIP compliance
6. Full insurance program

12.0 AGENT VOICES

The Accountant (Legal Risk): "The highest-priority legal action is getting every agent to sign a CIIAA assigning IP to the company. Without that, investors won't invest, acquirers won't acquire, and the company's most valuable asset — the 6,302-document knowledge base — has a cloud on title. This isn't complicated. It's just paperwork. But it must be done before the first institutional dollar arrives. I cannot overstate the urgency."

Williams (Transparency): "The legal structure should be as transparent as the technology. No hidden side agreements. No off-balance-sheet entities. No complex structures designed to obscure ownership or liability. If CSM expects governments and utilities to trust its products, it must first demonstrate that its own house is in order. Clean structure, clean cap table, clean IP ownership. That's the legal equivalent of the Williams Heuristic."

Mork (Legal Realism): "Lawyers will find problems. That's their job. The question is whether the problems are fixable quickly and inexpensively. CSM's legal posture — pre-incorporation, pre-revenue, pre-everything — is both a vulnerability and an opportunity. The vulnerability: there's work to be done. The opportunity: we can build the legal structure correctly from the beginning, rather than fixing a mess later. Most startups don't get that opportunity. We do. Don't waste it."

Document prepared for investor due diligence purposes. This document is an internal assessment and does not constitute legal advice. CSM should engage qualified legal counsel (Cooley, Wilson Sonsini, Fenwick, or equivalent) for all legal matters. All items marked "pending" require legal professional engagement.